



TechM's Q3FY22 performance was largely in-line with our estimates across revenue and EBITDA margins

- \$ revenue: \$1,533.5 Mn, +4.1% qoq / +17.2% yoy and 0.5% above our estimates
- INR revenue: INR 114,508 Mn, +5.2% qoq / +18.7% yoy and 0.2% above our estimates
- EBITDA: INR 20,600 Mn, +3.2% qoq / +8.7% yoy and -0.7% vs our estimates.
- EBITDA margins: 18%, vs 18.3% / 19.6% in Q2FY22 / Q3FY21 respectively and 20 bps below our estimates
- EBIT: INR 16,979 Mn, +2.8% qoq / +10.5% yoy and -2% vs our estimates
- EBIT margins: 14.8%, vs 15.2% / 15.9% in Q2FY22 / Q3FY21 respectively and 40 bps below our est.
- PAT: INR 13,685 Mn, +2.2% qoq / +4.5% yoy and -7.1% vs our estimates
- EPS at INR 15.6 vs 15.3 / 14.8 in Q2FY22 / Q3FY21 respectively
- Company signed deals worth \$704 Mn in Q3 vs \$750 Mn / \$455 Mn in Q2FY22 / Q3FY21 respectively

Industry Highlights

- Growth was led by Retail Transport & Logistics (8.5% revenue) at +14.3% qoq / +23.9% yoy followed by Communications, Media & Entertainment (40.9% of revenue) at +6.2% qoq / +18% yoy and Manufacturing (15.8% of revenue) at +3% qoq / +13.3% yoy
- BFSI (15.4% of revenue) reported a de-growth of -1.5% qoq / +13.4% yoy and Technology (8.4% of revenue) at -1.9% qoq / +17% yoy

Segmental Highlights

- Communications grew at 6.9% qoq / 18.3% yoy in cc terms
- Enterprise grew at 3.2% qoq / 17% yoy in cc terms

Geographical Highlights

- Americas (48.9% of revenue) led the growth with +6.6% qoq / 22.3% qoq followed by Europe (25.5% of revenue) at +2.6% qoq / +13.4% yoy
- ROW (25.6% of revenue) reported +1.2% qoq / +11.9% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E
Net sales	3,68,677	3,78,551	4,47,420	5,28,012	5,81,820
EBITDA	57,261	68,471	81,763	96,585	1,05,529
Adjusted net profit	42,505	44,788	56,338	64,579	70,572
Free cash flow	17,218	6,289	8,923	29,154	30,262
EPS (Rs)	48.1	50.7	64.4	73.8	80.7
growth (%)	-1%	5%	27%	15%	9%
P/E (x)	31.8	28.3	22.6	19.7	18.0
P/B (x)	5.9	5.0	4.3	3.7	3.3
EV/EBITDA (x)	21.9	18.3	15.1	12.6	11.5
ROCE (%)	16.7	16.0	17.3	17.3	17.0
RoE (%)	19.0	18.6	19.9	19.8	18.9
Dividend yield (%)	2.1	0.7	1.3	1.5	1.7

Source: Company

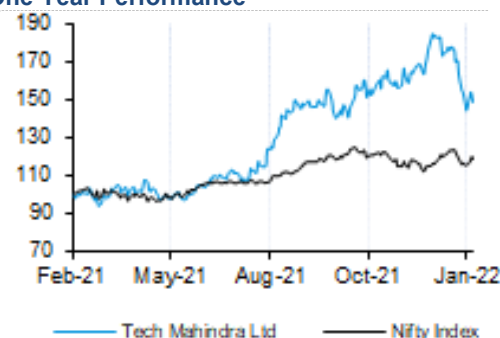
Rating	TP (Rs)	Up/Dn (%)
BUY	1,855	28

Market data

Current price	Rs	1,453
Market Cap (Rs.Bn)	(Rs Bn)	1,412
Market Cap (US\$ Mn)	(US\$ Mn)	18,868
Face Value	Rs	5
52 Weeks High/Low	Rs	1,838 / 894
Average Daily Volume	(000)	9,372
BSE Code		532755
Bloomberg		TECHM.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	35.67	35.70
Public	64.32	64.29
Othres	0.01	0.01
Total	100	100

Source: BSE

Mayank Babla
(022) 67141412
mayank.babla@dalal-broacha.com

Conference Call Key Takeaways

- Communications, Media & Entertainment sales were up qoq by 6.9% in CC terms. Regarding 5G business, TechM indicated that its focus is not only on network deployment projects but also revolves around system integration projects, design services, digital and cloud aspects of 5G.
- Enterprise segment sales grew by 3.2% in CC terms. BFSI and Technology segments declined qoq largely due to impact from furloughs, however, management indicated that they will witness strong growth rebound in coming quarters. It also mentioned that demand momentum across sub-verticals in Enterprise continues to be robust.
- New business deal wins for the quarter stood at US\$704mn vs. US\$750mn qoq. Enterprises deals stood at US\$478mn (-3.4% qoq) while Communication, Media & Ent. deals stood at US\$226mn (-11.4%).
- Deal sizes trending towards smaller deals. However, discussions around large deals are also healthy.
- EBIT margins were softer in Q2 led due to supply side challenges, lower utilization and higher sub-con cost partly offset by tailwinds from operating leverage and lower SG&A expenses. TechM reiterated about achieving 15% EBIT margin for FY22E
- Sub-contractor cost increased to 16.4% of sales vs. 15.3% qoq. Increase in sub-con cost was led by increased dependence on sub-contractors due to travel restrictions in some of the markets. Expect subcon cost to reduce to below 13% going ahead.
- Employee headcount stood at 1,45,067 with strong increase of 3,874 employees qoq. In FY22E, TechM plans to recruit approximately 10,000 fresh engineering graduates and it also indicated that increasing the freshers' intake significantly in FY23E vis-à-vis FY22E.
- IT services organic attrition (LTM) further increased to 24% vs. 21% in 2Q and 17% 1Q. TechM has provided certain wage corrections and skill-based wage incentives in Q3FY22.
- DSO (incl. unbilled) increased by 9 days qoq to 101 days. Increase in DSO was largely due to collection delays in few large accounts. TechM indicated about DSO to decrease from current levels in coming quarters.
- FCF stood at US\$123mn (67.1% of PAT in Q3FY22 vs. 103.8% of PAT in Q2FY22).
- TechM indicated about ETR to be in the range of 26-27% on going forward basis.

Quarterly Performance Analysis

Exhibit 1

YE March (Rs. mn)	Q3 FY22	Q2 FY22	Q-o-Q change %	Q3 FY21	Y-o-Y change %	Q3 FY22 Estimates	Deviation %
Net Sales (USD Mn)	1,534	1,473	4.1%	1,309	17.2%	1,525	0.5%
Net Sales (INR Mn)	1,14,508	1,08,813	5.2%	96,471	18.7%	1,14,276	0.2%
Less:							
Employees Remuneration & Benefits	80,088	74,346	7.7%	64,708	23.8%	77,068	3.9%
Administrative & Other Expenses	13,819	14,515	(4.8%)	12,808	7.9%	16,456	(16.0%)
Total Operating Expenditure	93,907	88,861	5.7%	77,516	21.1%	93,524	0.4%
EBITDA	20,601	19,952	3.3%	18,955	8.7%	20,752	(0.7%)
Less: Depreciation	3,621	3,430	5.6%	3,584	1.0%	3,430	5.6%
EBIT	16,980	16,522	2.8%	15,371	10.5%	17,322	(2.0%)
Less: Interest	339	354	(4.2%)	421	(19.5%)	352	(3.6%)
Add: Other income	2,231	2,821	(20.9%)	2,209	1.0%	2,963	(24.7%)
Profit Before Tax	18,872	18,989	(0.6%)	17,159	10.0%	19,933	(5.3%)
Adjusted Profit Before Tax	18,872	18,989	(0.6%)	17,159	10.0%	19,933	(5.3%)
Less: Total Tax	5,082	5,572	(8.8%)	4,263	19.2%	5,183	(1.9%)
Minority Interest	-97	-22		197		-23	
Reported PAT	13,686	13,387	2.2%	13,098	4.5%	14,727	(7.1%)
Adjusted PAT	13,693	13,387	2.3%	13,093	4.6%	14,727	(7.0%)
Reported Diluted EPS (Rs.)	15.6	15.3	2.2%	14.8	5.5%	16.8	(7.1%)
Adjusted Diluted EPS (Rs.)	15.7	15.3	2.3%	14.8	5.6%	16.8	(7.0%)
No of Shared Diluted (mn)	874.8	874.8		883.0		874.8	
Margin Analysis %			Change in bps		Change in bps		Change in bps
EBIT Margin	14.8%	15.2%	(36)	15.9%	(110)	15.2%	(33)
EBIDTA Margin	18.0%	18.3%	(35)	19.6%	(166)	18.2%	(17)
NPM	12.0%	12.3%	(35)	13.6%	(163)	12.9%	(94)
Adjusted NPM	12.0%	12.3%	(34)	13.6%	(161)	12.9%	(93)
Effective Tax Rate %	26.9%	29.3%	(241)	24.8%	208	26.0%	93
Cost Analysis %			Change in bps		Change in bps		Change in bps
Employee Cost/Net Sales	69.9%	68.3%	162	67.1%	287	67.4%	250
SG&A/Net sales	12.1%	13.3%	(127)	13.3%	(121)	14.4%	(233)

Source: Dalal & Broacha Research, Company

Revenue was marginally above our estimates while EBIT margins were below our estimates

Management indicated that EBIT margins should see an uptick and overall FY22e EBIT margins should stand at 15%

Expect Enterprise segment to bounceback in Q4FY22

Valuation & Outlook

Tech Mahindra is currently trading at 19.7x / 18x FY23e / FY24e EPS. We believe that TechM is well poised to take advantage of the 5G story. Healthy performance of Comms segment, good outlook of Enterprise Segment, steady pipeline and robust 5G as well as Enterprise demand means that TechM is well placed in the entire scheme of things. Management has given a steady outlook on EBIT margins going ahead (at 15% for FY22).

We retain a BUY rating on the stock as we rollover to FY24 estimates and arrive at a target price of INR 1,855, based on 23x FY24e EPS estimates.

Financial

Profit & Loss A/c						Balance Sheet					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E	YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	3,68,677	3,78,551	4,47,420	5,28,012	5,81,820	Liabilities					
<i>Growth %</i>	<i>6.1%</i>	<i>2.7%</i>	<i>18.2%</i>	<i>18.0%</i>	<i>10.2%</i>	Equity Capital	4,359	4,370	4,370	4,370	4,370
Total Revenue	3,68,677	3,78,551	4,47,420	5,28,012	5,81,820	Reserves & Surplus	2,13,772	2,50,008	2,89,444	3,34,650	3,84,050
Less:						Equity	2,18,131	2,54,378	2,93,814	3,39,020	3,88,420
Employee Expenses	2,59,743	2,58,555	3,07,062	3,55,358	3,91,339	Net Worth	2,18,131	2,54,378	2,93,814	3,39,020	3,88,420
SGA Expenses	51,673	51,525	58,595	76,070	84,951	Total Loans	1,787	1,658	1,458	1,258	1,058
Total Operating Expenditure	3,11,416	3,10,080	3,65,657	4,31,428	4,76,291	Long term Provisions	6,691	7,810	8,591	9,450	10,395
EBIDTA	57,261	68,471	81,763	96,585	1,05,529	Amount Pending Investigation	12,304	12,304	12,304	12,304	12,304
<i>Growth %</i>	<i>-9.6%</i>	<i>19.6%</i>	<i>19.4%</i>	<i>18.1%</i>	<i>9.3%</i>	Lease Liabilities	11,998	8,077	11,998	11,998	0
Less: Depreciation	14,458	14,577	14,083	16,954	18,845	Capital Employed	2,67,737	2,99,733	3,44,842	3,91,995	4,27,764
EBIT	42,803	53,894	67,679	79,630	86,684	Assets					
<i>Growth %</i>	<i>-17.8%</i>	<i>25.9%</i>	<i>25.6%</i>	<i>17.7%</i>	<i>8.9%</i>	Net Block	26,609	24,632	42,426	45,472	46,627
EBIT Margin (%)	11.6%	14.2%	15.1%	15.1%	14.9%	Right of Use Assets	11,730	10,072	10,072	10,072	10,072
Non-operating Income	11,924	7,871	11,091	9,888	10,891	Capital WIP	501	1,183	1,183	1,183	1,183
Profit Before tax	50,633	60,532	77,347	88,144	96,239	Investments	3,804	6,648	7,313	8,044	8,848
Tax	11,604	15,999	20,741	23,460	25,551	Intangible Assets	48,937	54,590	59,247	65,172	71,689
Minority Interest	1,356	750	-269	-105	-116	Current Assets					
Net Profit	40,385	45,283	56,338	64,579	70,572	Sundry Debtors	75,772	64,728	72,819	81,921	92,162
Adjusted Profit	42,505	44,788	56,338	64,579	70,572	Cash and Bank Balance	31,483	30,077	34,120	51,582	56,592
Reported Diluted EPS	45.7	51.3	64.4	73.8	80.7	Total Current Assets	2,31,723	2,54,278	2,78,970	3,19,328	3,49,750
<i>Growth %</i>	<i>-6.2%</i>	<i>12.3%</i>	<i>25.5%</i>	<i>14.6%</i>	<i>9.3%</i>	Less: Current Liabilities					
Adjusted Diluted EPS	48.1	50.7	64.4	73.8	80.7	Sundry Creditors	32,566	27,850	28,964	30,123	31,327
<i>Growth %</i>	<i>-1.1%</i>	<i>5.4%</i>	<i>27.0%</i>	<i>14.6%</i>	<i>9.3%</i>	Total Current Liabilities	1,05,798	98,772	1,04,469	1,10,588	1,17,162
						Capital Applied	2,67,737	2,99,733	3,44,842	3,91,995	4,27,764
Key Ratios						Free Cash Flow Statement					
EBIDTA (%)	15.5%	18.1%	18.3%	18.3%	18.1%	YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
NPM (%)	11.5%	12.0%	12.6%	12.2%	12.1%	EBIDTA	42,803	53,894	67,679	79,630	86,684
RoE (%)	19.0%	18.6%	19.9%	19.8%	18.9%	Less: Adjusted Taxes	9,810	14,245	18,148	21,194	23,014
RoCE (%)	16.7%	16.0%	17.3%	17.3%	17.0%	NOPLAT	32,993	39,649	49,531	58,437	63,670
Book Value Per share (Rs.)	247.0	288.1	335.9	387.5	444.0	Plus: Depreciation	14,458	14,577	14,083	16,954	18,845
Valuation Ratios						Less: Increase in Working Capital	2,246	32,485	11,930	13,329	14,096
P/E (x)	31.8x	28.3x	22.6x	19.7x	18.0x	Operating Cashflow	45,205	21,741	51,684	62,062	68,420
EV/EBITDA	21.9x	18.3x	15.1x	12.6x	11.5x	Less: Net Capex	12,576	13,282	31,877	20,000	20,000
P/BV (x)	5.9x	5.0x	4.3x	3.7x	3.3x	Less: Increase in Net Other Assets	13,735	2,543	10,884	12,909	18,158
Market Cap. / Sales (x)	3.5x	3.4x	2.8x	2.4x	2.2x	Total FCF	17,218	6,289	8,923	29,154	30,262

Source: Dalal & Broacha Research, Company

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Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Auto Auto ancillary FMCG
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: equity.research@dalal-broacha.com